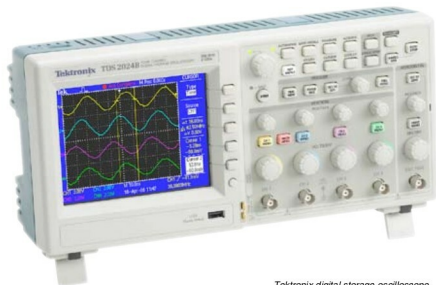


Vivid Prospect for T&M Equipment Market in India

T&M instruments, an integral part of R&D and manufacturing, have a great potential market in India, especially with the explosion in the telecom sector



Tektronix digital storage oscilloscope

■ **JESUS MILTON ROUSSEAU S.**

The Indian test and measurement (T&M) market has been fairly resilient and is growing steadily compared to its progress in western markets, where growth rates have hit a plateau. "The size of the Indian T&M instruments market is estimated to be Rs 10,000 million, including the imported range and domestic manufacturing industry," informs Joey Joseph, CEO and MD, TTL Technologies. Growth on an average has been 15 to 20 per cent in most segments and even higher in certain markets.

"This has largely been due to the formidable growth registered by key

industry segments like automobiles, electronics, pharmaceuticals, life sciences and telecommunications. Sectors like defence, backed by government investments, have also been instrumental in driving growth. Increasing research and development (R&D) activities across various industries are expected to further augment the growth of the Indian T&M market," says S.K. Jain, CEO & MD, Sumitron Exports.

S.R. Sabapathi, chairman and MD, Qmax Test Equipments, adds, "T&M is a growing market with vast potential and is all set to move at a fast pace if the government responds to the hardware manufacturers' suggestions on taxation and policy."

There are differing opinions on the role the telecom sector plays on the

T&M market. Yatish Mohan, MD, Rohde & Schwarz India, believes, "Since the onset of the recession, there has been a decline in investment in R&D, therefore the number of testing projects carried out in India has also plunged. Thus business from the telecom sector has seen a steep slump since the recession."

On the other hand, Naresh Narasimhan, country marketing manager, Tektronix India, says, "We can't say the Indian T&M market is affected by the recession as the Indian telecom T&M market has registered a robust growth rate of 23.01 per cent in 2008-09 over the previous year. However, this marks a 3 per cent decline in growth compared to 26 per cent growth in 2007-08. In fact, India has been witnessing a rapid growth of overall investments in T&M over the last few years."

Jain adds, "The T&M market has slowly but steadily worked towards rebuilding itself and is now projected to grow due to the emerging application areas in communications such as satellite-based personal networks, home automation networks, wireless local area networks (WLANs) and wireless Internet. New broadband wireless technologies will drive spending on wireless LAN equipment in double digits over the next five years."

Taxation problem affects growth

Most T&M products attract zero customs duty if the product is imported and companies only pay the countervailing duty (CVD). Whereas if